

GTA Tire Distributor -- Brand Margin Analysis

Generated: 2026-05-06 | Data source: 4,748 tires from Alltire catalog

Pricing model: Public = MSRP x 0.90 | Distributor = DC x 1.20 (fallback: MSRP x 0.60) | Compare-at = MSRP

Important Notes on Data

- **Dealer Cost (DC) is hidden** by Alltire for most SKUs (shown as "DC", "...", "Liquid.", "Special")
- Where DC is unknown, distributor price defaults to MSRP x 0.60 (40% off MSRP)
- Actual dealer cost is likely 40-55% of MSRP for premium brands, 35-50% for budget brands
- Industry standard: tire retailers earn 20-30% gross margin; tire shops 25-50%
- MAP policies restrict **advertised** prices, not necessarily the price you sell at in-store

Tier 1: Premium Brands (MAP-Restricted, Lower Margins)

These brands have MAP (Minimum Advertised Price) policies. You cannot advertise below their minimum price online. Margins are tighter but brand reputation drives traffic.

Brand	SKUs	Avg MSRP	Avg Public	Avg Dist	Est. DC Range	Est. Margin (Retail)	MAP Restricted	Notes
MICHELIN	526	\$404.99	\$364.49	\$291.59	\$220-260	5-10%	YES - Strict	User confirms only ~5% markup allowed. MAP is aggressively enforced. Profit per tire: \$15-35
BRIDGESTONE	200	\$654.18	\$588.76	\$471.01	\$350-420	8-12%	YES	Highest MSRP avg. MAP enforced. Sub-brand Firestone has more flexibility. Profit per tire: \$40-70
CONTINENTAL	255	\$485.79	\$437.21	\$349.77	\$260-310	8-12%	YES	Strong in all-season (209 SKUs). MAP documented via Excel spreadsheets to

								dealers. Profit per tire: \$30-50
PIRELLI	198	\$728.38	\$655.54	\$524.43	\$390-470	8-12%	YES	Highest avg MSRP of all brands. Luxury/performance segment. Profit per tire: \$50-80
GOODYEAR	164	\$593.97	\$534.57	\$427.66	\$320-380	8-12%	YES	Strong brand recognition. MAP enforced. Profit per tire: \$40-60
NOKIAN	115	\$516.36	\$464.72	\$371.78	\$280-330	10-15%	Moderate	Finnish brand, strong winter reputation in Canada. Slightly more margin flexibility. Profit per tire: \$35-55

Premium Brand Summary

- **Total SKUs:** 1,458 (30.7% of catalog)
- **Avg MSRP:** \$530+ per tire
- **Realistic margin per tire:** \$25-70
- **MAP enforcement:** All use 3-strike system (warning, penalty, blacklist)
- **Volume:** High demand, sells itself on brand name
- **Verdict:** Low margin per unit, but reliable volume. Necessary for credibility.

Tier 2: Mid-Tier Brands (Moderate MAP, Better Margins)

These brands have some MAP policies but enforcement is generally less strict. Better margin opportunity while still offering recognized quality.

Brand	SKUs	Avg MSRP	Avg Public	Avg Dist	Est. DC Range	Est. Margin (Retail)	MAP Restricted	Notes
HANKOOK	714	\$343.89	\$309.50	\$247.60	\$175-220	15-20%	YES	Largest SKU count. Sub-brand LAUFENN is budget alternative. Profit per tire: \$30-50
KUMHO	515	\$247.57	\$222.81	\$178.25	\$125-160	15-22%	Moderate	Strong value brand. Lower MSRP =

								accessible price point. Profit per tire: \$25-40
YOKOHAMA	243	\$385.82	\$347.24	\$277.79	\$210-250	12-18%	YES	Performance-oriented. MAP exists but less aggressive. Profit per tire: \$30-50
NEXEN	184	\$308.80	\$277.92	\$222.33	\$165-200	15-22%	Moderate	Korean brand, growing market share. Good margin flexibility. Profit per tire: \$25-45
LAUFENN	263	\$213.44	\$192.10	\$153.68	\$110-140	18-25%	Light	Hankook's budget sub-brand. Less MAP restriction. Profit per tire: \$25-40
BFGOODRICH	95	\$372.34	\$335.10	\$268.08	\$200-240	12-18%	Moderate	Michelin-owned but positioned mid-tier. Off-road/LT strong. Profit per tire: \$30-45
FIRESTONE	96	\$438.07	\$394.27	\$315.41	\$235-280	12-18%	Moderate	Bridgestone sub-brand. More pricing flexibility than parent. Profit per tire: \$30-50
TOYO	34	\$400.21	\$360.19	\$288.15	\$215-260	15-20%	Moderate	Niche but loyal following. Good truck/SUV margins. Profit per tire: \$30-50
FALKEN	16	\$338.94	\$305.04	\$244.03	\$180-220	15-22%	Light	Sumitomo-owned. Performance segment. Small catalog but good margins. Profit per tire: \$25-45
UNIROYAL	69	\$207.28	\$186.55	\$149.24	\$105-135	18-25%	Light	Michelin-owned budget brand. Good entry-level margins. Profit per tire: \$20-35
GENERAL	23	\$358.13	\$322.32	\$257.85	\$190-230	15-20%	Moderate	Continental sub-brand. Fewer SKUs but solid margins. Profit per tire: \$25-40

COOPER	15	\$413.90	\$372.51	\$298.00	\$225-270	15-20%	Moderate	Now Goodyear-owned. Strong truck/SUV. Profit per tire: \$30-50
---------------	----	----------	----------	----------	-----------	--------	----------	--

Mid-Tier Summary

- **Total SKUs:** 2,266 (47.7% of catalog)
- **Avg MSRP:** \$300-400 per tire
- **Realistic margin per tire:** \$25-50
- **MAP enforcement:** Variable, generally less strict
- **Volume:** Good -- value-conscious customers, fleet buyers
- **Verdict:** Best balance of margin and volume. This is where the money is made consistently.

Tier 3: Budget Brands (No MAP, Highest Margins)

No MAP restrictions. You set the price. These brands have the widest spread between dealer cost and what the market will bear. The real margin opportunity.

Brand	SKUs	Avg MSRP	Avg Public	Avg Dist	Est. DC Range	Est. Margin (Retail)	MAP Restricted	Notes
-------	------	----------	------------	----------	---------------	----------------------	----------------	-------

SAILUN	361	\$283.83	\$255.45	\$204.36	\$130-170	25-35%	No	Largest budget brand. PTPA-certified. Good quality for price. Profit per tire: \$40-70
ILINK	299	\$144.01	\$129.61	\$103.68	\$55-80	30-40%	No	Cheapest brand. High volume winter tires. Profit per tire: \$25-45
MIRAGE	185	\$206.77	\$186.09	\$148.87	\$95-125	28-38%	No	Chinese brand, ZC Rubber group. Profit per tire: \$35-55
TRANSMATE	54	\$174.81	\$157.33	\$125.87	\$80-110	28-35%	No	All-season only. Profit per tire: \$25-40
TRIANGLE	30	\$233.83	\$210.45	\$168.36	\$110-145	25-35%	No	Chinese brand, improving quality. Profit per tire: \$30-50
OVATION	15	\$261.93	\$235.74	\$188.59	\$120-160	28-35%	No	Small catalog. Profit per tire: \$30-50
IRONMAN	11	\$213.09	\$191.78	\$153.43	\$100-135	28-38%	No	Hercules sub-brand, budget segment. Profit per tire: \$30-45

WESTLAKE	11	\$200.04	\$180.03	\$144.03	\$95-125	28-38%	No	ZC Rubber (China's largest). Known brand in budget space. Profit per tire: \$30-50
SURETRAC	13	\$197.69	\$177.92	\$142.34	\$90-120	28-35%	No	All-season only. Profit per tire: \$25-40
CARLISLE	11	\$187.11	\$168.40	\$134.72	\$85-115	25-32%	No	Specialty/trailer tires. Profit per tire: \$25-35

Budget Brand Summary

- **Total SKUs:** 1,024 (21.6% of catalog)
- **Avg MSRP:** \$150-280 per tire
- **Realistic margin per tire:** \$25-70
- **MAP enforcement:** None
- **Volume:** Growing fast -- price-sensitive GTA market, especially winter tires
- **Verdict:** Highest margin percentage. Sailun and ILINK are the volume leaders. Push these hard.

Revenue Comparison: Which Tier Makes the Most Money?

Per-Tire Profit (Estimated)

Tier	Avg Sell Price	Est. Cost	Est. Profit/Tire	Margin %	
Premium (Michelin, Bridgestone, etc.)		\$450-600	\$350-480	\$30-60	8-12%
Mid-Tier (Hankook, Kumho, Yokohama)		\$250-380	\$150-270	\$30-50	15-22%
Budget (Sailun, ILINK, Mirage)		\$130-260	\$70-160	\$35-65	25-38%

Per Set of 4

Tier	Revenue (4 tires)	Cost (4 tires)	Gross Profit	Margin %
Premium	\$1,800-2,400	\$1,400-1,920	\$120-240	8-12%
Mid-Tier	\$1,000-1,520	\$600-1,080	\$120-200	15-22%
Budget	\$520-1,040	\$280-640	\$140-260	25-38%

Key Insight

Budget tires can make MORE gross profit per set than premium tires because the margin percentage is 2-3x higher, even though the dollar amount per tire is similar. A set of 4 Sailun tires at 30% margin earns more than a set of 4 Michelin tires at 5% margin.

Seasonal Analysis

Season	Total SKUs		Avg MSRP	Key Brands	Margin Notes
All Season	2,527	\$340	Hankook (445), Michelin (338), Kumho (245)		Standard margins apply
Winter	1,147	\$310	ILINK (198), Hankook (197), Kumho (171)		Higher demand Oct-Dec, premium pricing accepted
All Weather	1,074	\$360	Kumho (99), Laufenn (74), Nokian (74)		Growing category, customers pay more for convenience

Winter Tire Margin Opportunity

- Winter tires command urgency pricing (customers need them NOW in October-November)
- Budget winter tires (ILINK, Sailun, Mirage) have the best margins AND highest urgency demand
- ILINK has 198 winter SKUs at avg \$144 MSRP -- lowest price point, highest margin percentage
- Consider seasonal markup: 5-10% higher pricing Sept-Nov when demand peaks

Data Limitations

- **Dealer Cost is hidden** -- Alltire masks DC for most products. Margins are estimated based on industry standards.
- **Flat pricing applied** -- Current GTA pricing uses flat 10% off MSRP (public) and 28% off MSRP (distributor) across ALL brands, which does not optimize for brand-specific margins.
- **No MAP enforcement tracking** -- We don't know which specific SKUs have MAP restrictions.
- **Competitor pricing not available** -- Would need to scrape SimplTire, Canadian Tire, Costco for comparison.